

Procure Space ETF

SPCX NASDAQ

Buy	\$143.42 ▼ 1.87%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.89T
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SPCX: Space ETF Cools After SpaceX-Driven Rally

WHAT HAPPENED

- SPCX pulled back 1.87% after yesterday's ~10% pop to \$146. Volume today is way lighter (20M vs 166M yesterday) — that's not real selling pressure, that's just people catching their breath after a big move. Translation: profit-taking, not a trend change.
- The news flow is actually bullish — Morgan Stanley's Adam Jonas (basically the SpaceX bull on Wall Street) put out a long-term bullish note, and there's chatter about SpaceX pushing into AI via Grok. SpaceX is the biggest weight in this ETF, so what moves SpaceX moves SPCX.

WHY IT MATTERS

Here's what today really means: the market is treating SPCX like a SpaceX proxy, and that's mostly right — SpaceX (through private share exposure) plus Rocket Lab, Planet Labs, and Iridium drive most of the moves. The pullback is healthy after a violent one-day rally, and the fact that puts flow is heavy at the \$200 strike tells me big money is positioning for a much higher move over the next few months (they're buying insurance because they own the stock, not shorting it). Bigger picture: we're in the middle of the largest peacetime space buildout in U.S. history, and SPCX is the cleanest ETF way to play it without picking a single winner. The pullback is a gift if you don't own it yet.

POLICY & POLITICAL WATCH

The single most important policy driver right now is the "Golden Dome" missile defense initiative — the Trump administration's Iron Dome-for-America project, which is projected to funnel \$175B+ into space-based sensors, satellites, and interceptors over the next decade. SpaceX, L3Harris, and Rocket Lab (all SPCX holdings) are frontrunners for contracts. Also watch the FY2027 defense authorization bill working through Congress — Space Force's budget is expected to grow another 15-20%, and the FCC's proposed spectrum rules for low-earth-orbit satellites could either accelerate or bottleneck Starlink competitors. Net-net: policy tailwind is as strong as it's been in a decade.

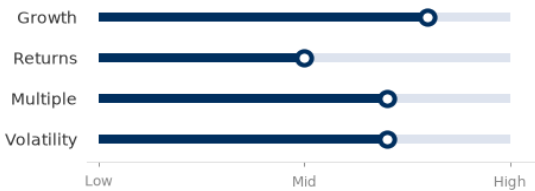
IS IT EXPENSIVE?

SPCX is trading at roughly 32% of its 52-week range (\$104-\$225), so despite the SpaceX-driven optimism it's actually closer to the low end than the high — meaning you're not chasing a top here. The underlying holdings trade at a premium (investors are paying up because space is a "story stock" sector where growth beats profits right now), but if Golden Dome contracts start hitting in 2026-2027, today's multiples will look cheap in hindsight. Fair value in my base case is \$160-170 over the next 12 months.

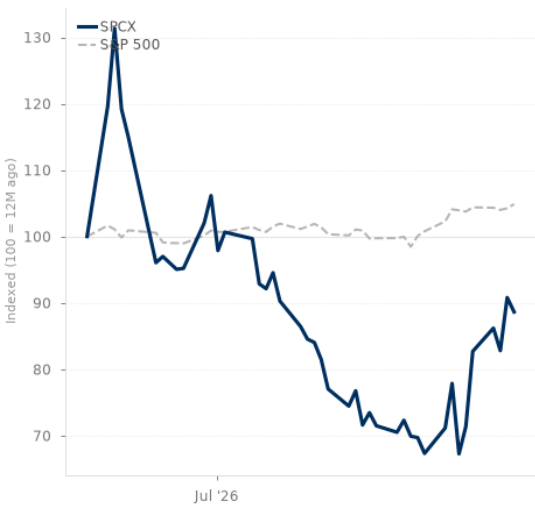
Key Data

Price (USD)	\$143.42
12M Price Target	\$165.00
Upside / (Downside)	+15.0%
Market Cap	\$1.89T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$155.00	\$145.00	\$130.00
6 Months	\$180.00	\$160.00	\$125.00
1 Year	\$210.00	\$165.00	\$120.00
2 Years	\$260.00	\$195.00	\$110.00
5 Years	\$400.00	\$275.00	\$130.00
10 Years	\$650.00	\$425.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.91% 5D) and Communications — both benefit from the same AI/space/data infrastructure wave that lifts SPCX. Real Estate leading today is a rate-cut bet, which also helps capital-intensive space names.

COOLING OFF: Energy and materials are quiet — the market is prioritizing growth stories over cyclical right now.

ROTATION WATCH: Money is moving into "hard tech" — space, defense, AI infrastructure — because these are the sectors with direct government spending tailwinds. That's the SPCX bull case in one sentence.

RELATED PLAY: If SPCX runs, watch ITA (defense ETF) and the pure-play satellite comms names like Iridium — they're the second-order beneficiaries of the same Golden Dome dollars.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning the medium-lift launch race and picking up Space Force contracts SpaceX doesn't want.
- LHX (L3Harris): Space-based sensor supplier that's directly tied to Golden Dome architecture wins.

SPCX CONTEXT: SPCX is leading its historical peer set because SpaceX exposure is unique — no other ETF offers this. That premium should persist as long as private SpaceX marks keep rising.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the policy setup and the SpaceX flywheel, but valuation isn't screaming cheap and the ETF can whipsaw hard on any SpaceX news.

POSITION SIZE: 3-5% of portfolio — enough to matter if it works, small enough that a 30% drawdown doesn't wreck you.

ENTRY POINTS: I'd add on pullbacks to \$133-138 (recent support). Today's dip toward \$143 is a nibble, not a back-up-the-truck moment.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Golden Dome contract awards starting to hit the tape in late 2026 / early 2027.

WHEN TO BAIL: If Golden Dome funding gets cut in half in appropriations, or if SPCX breaks below \$120 on heavy volume — that tells me the thesis is broken, not just noisy.

HEDGING: Simplest hedge is just to size smaller. If you want to get fancy, buy a small amount of downside puts 3-6 months out — think of it like buying insurance on your house, small cost for peace of mind.